

Presentation Script

Speaking notes for the desk pitch — target run time ~5–6 minutes, plus Q&A

Companion to: BoE_Sept_Hike_Trade_Pitch.pdf

Delivery note: read this once for rhythm, then present from memory / bullet recall, not verbatim.

OPENING — THE HOOK

~30 sec

“I want to pitch a rates trade off the back of what's happening in FX options and spot right now — the market is pricing an 18% chance of a BoE hike at the July 30 meeting, and 50% for September 17. I think that spread is roughly right on July, but too low on September — and I want to be positioned for the September meeting specifically, not July. This is a pay-fixed SONIA OIS trade, structured so we're not paying for July event risk at all.”

Cue: pause here — let the 18% vs 50% framing land before moving on.

WHY THIS, WHY NOW

~45 sec

“Three things happened this week that I think the curve hasn't fully absorbed yet. First, Brent is back above \$85 a barrel after fresh US strikes on Iran and a reinstated naval blockade of Hormuz — that's up close to \$9 in two sessions. Second, Catherine Mann said on July 2nd — before this move — that if market rate expectations loosened from where they were in June, that would actually argue for more tightening, not less. That's exactly what's happening in reverse right now as oil re-prices. Third, the hawkish camp on the MPC has grown at every meeting since April — one dissent, then two. I don't think September is a coin flip. I think it's closer to 70-30 in favour of a hike than 50-50.”

THE MACRO CASE — WALK THE DATA

~90 sec

“Quickly on the data, because this is what actually gets the Committee there. Inflation: headline CPI is 2.8%, but services — which is what the MPC actually watches — jumped to 3.7% in May from 3.2% in April. That's the number that worries them, because it's domestically generated, not imported. Bailey himself said on CNBC he expects CPI to get to around 3.2% later this year just from the lagged energy price cap — and that's before this week's oil spike is even in the numbers.

“Growth: Q1 GDP came in at 0.6%, better than expected, so the Committee isn't under pressure to cut on growth grounds. But the PMI dipped below 50 in May and vacancies are at a five-year low, so there's a genuine trade-off here — which is actually why I think September, not July, is where they act: they get one more quarter to see whether the softening growth picture or the inflation picture wins out.

“Labour market: unemployment's at 4.9%, wage growth is still running about 3.4% regular pay, and the Bank's own Agents still expect 3.5% average pay settlements this year. That's not a labour market that's screaming 'cut,' and it's not obviously consistent with 2% inflation either.

“And household inflation expectations hit a record 4% one-year-ahead in the May survey — double target. That is specifically the number Mann has said she's watching, and it's the closest thing we have to a real-time hawkish trigger for her vote.”

Cue: if the desk looks impatient, skip straight to the oil sensitivity line — it's the strongest single point.

WHAT THE MPC IS ACTUALLY SAYING

~45 sec

“On the Committee itself — June was a 7-2 hold, with Pill and Greene dissenting for an immediate hike to 4%. That’s up from just one dissenter, Pill alone, in April. Bailey and Breeden are both still in ‘wait and see’ mode — Breeden’s exact words were that the Bank shouldn’t be ‘trigger-happy.’ I’m not fighting that for July. But Mann is the one to watch: she held in June specifically because tighter market rate expectations were already doing some of the tightening for her. She told us on July 2nd that if that loosened, she’d lean back toward hiking. Well — it’s loosened, and now it’s snapped back the other way because of Hormuz. That’s her own stated reaction function pointing at September.”

THE TRADE ITSELF

~60 sec

“Mechanically: we pay fixed on a SONIA OIS, starting August 1st — the day after the July meeting, so we’re not exposed to July at all — running to December 31st, so we capture September and its persistence through year-end. Illustrative entry is around 3.84%, which is roughly a 9 basis point premium to the current 3.75% Bank Rate — that’s the market’s 50% probability already baked in. On 50 million notional, that’s about £2,100 of DV01. If the hike gets delivered, or the market just re-prices the probability up to something like 75-80% before the meeting, we’re looking at somewhere around 9 to 18 thousand pounds of P&L on that size, and we can obviously scale that. If I want to strip out even the residual July risk entirely, I can overlay a small receiver on a July-dated leg against it — happy to walk through that structure if it’s useful, but the August-to-December payer is the clean, simple way to put the trade on.”

RISK — SAY IT BEFORE THEY ASK

~45 sec

“The main risk is obvious and I want to flag it myself: oil is exactly as capable of reversing as it was in June, when the first ceasefire attempt took Brent from over \$100 back toward the high \$70s in a matter of weeks. If there’s a durable de-escalation, this trade loses, and it should — that’s the other side of the same probability I’m betting on. My invalidation level is Brent sustaining below about \$75 a barrel for five-plus sessions, or a soft downside surprise on services inflation in the June CPI print on July 22nd. Either of those and I’d want to cut the position well before the September meeting, not wait for it.”

CLOSE / ASK

~20 sec

“So the ask is: pay fixed GBP SONIA OIS, Aug–Dec, targeting the September MPC specifically, sized to the desk’s normal rates risk budget. I think the risk/reward is genuinely close to symmetric around the market’s own 50% pricing, and I think the balance of evidence — oil, services inflation, MPC dissent momentum, and Mann’s own stated triggers — tilts that probability higher between now and mid-September. Happy to take questions.”

ANTICIPATED DESK QUESTIONS**Q: “Why not just trade July directly if you think anything’s mispriced there too?”**

“Because I don’t think July is mispriced — 18% looks broadly right given Bailey and Breeden’s own explicit ‘wait and see’ language, and the June CPI print lands only 8 days before the meeting, too late for the Committee to fully digest. Trying to trade July means paying for optionality on a meeting they’ve effectively told us they intend to hold. September is where the real informational edge is.”

Q: “What if oil just fades again like it did in June?”

“That’s the primary risk and it’s exactly why I’ve given a specific invalidation level — Brent sustaining below ~\$75/bbl for five-plus sessions. This isn’t a set-and-forget position; it needs active monitoring against the Hormuz situation between now and mid-September, and I’d cut it well before the meeting if that level breaks.”

Q: “Why SONIA OIS and not just a GBP rates future or an FX expression via cable?”

“SONIA OIS gives the cleanest, most linear read on Bank Rate expectations specifically — it's the direct instrument the market uses to price these meetings, which is why we can quote the 18%/50% probabilities off it in the first place. A cable position would bundle in DXY, risk sentiment, and the broader Iran risk-off/risk-on trade, which dilutes the specific MPC view I'm trying to express. That said, if the desk would rather warehouse this via a liquid listed instrument, selling Dec-26 3-month SONIA futures is a reasonable proxy.”

Q: “How does this interact with any GBP options or spot positioning already on the desk?”

“Worth checking against existing GBP delta and vol positions before sizing — a hawkish BoE repricing would likely be sterling-supportive at the margin, so this could be complementary to, rather than fully independent of, any existing long-GBP or short-vol positioning. I'd want to size this with that correlation in mind rather than treating it as a fully orthogonal risk.”

Q: “What's your conviction level — is this a core position or a smaller tactical trade?”

“I'd frame it as a tactical, catalyst-driven position sized to the desk's standard rates risk budget — not a maximum-conviction trade. The thesis is directional and symmetric around current pricing, so it should be sized like a genuine two-way bet on an event, with the stated invalidation levels actually respected.”

This script is a delivery aid for an internal desk pitch, built from the accompanying trade-pitch memo. Practice the opening and the risk section verbatim; keep the macro walkthrough conversational. All figures illustrative — confirm live pricing before quoting exact levels in the room.